

PERSONAL NOTES

CONCORD BIOTECH

My View | May 2026

Personal portfolio

Concord Biotech Limited

A genuine moat, priced as though the moat were also a growth engine

Personal portfolio

Fermentation APIs & formulations | Small cap | Nifty 500 constituent

Price (May 2026)	₹1,255
Market cap	₹13,127 Cr
Net cash (31-Mar-26)	₹414 Cr
52-week high / low	₹1,881 / ₹987
FY26 EPS / P/E	₹25.0 / 50.3x
EV/EBITDA (FY26)	34.6x
P/B (FY26)	6.5x
Dividend / yield	₹7.55 / 0.6%
Promoter holding	44.1% (nil pledge)
FII / DII (Jun-26)	7.5% / 9.4%
NSE / BSE	CONCORDBIO / 543960

INVESTMENT SUMMARY

What it does. Concord Biotech makes the active pharmaceutical ingredients that stop transplanted organs being rejected. It grows them — tacrolimus, mycophenolate mofetil, mycophenolate sodium, cyclosporine, sirolimus, pimecrolimus — in fermentation tanks from proprietary microbial strains, then sells the API to roughly 250 formulator customers across more than 70 countries, and increasingly sells the finished tablet itself. APIs were about 80% of FY26 revenue of ₹1,055 Cr; formulations the remaining 20%.

My view. I think fair value is around ₹1,240, against a current price of ₹1,255. I want to be explicit about why a business I admire gets a verdict I do not enjoy giving. The moat is real, unusually durable and correctly described by the bulls. The problem is arithmetic: at ₹1,255 the market capitalises this company at 50x trailing earnings and 34.6x EV/EBITDA for an asset whose core end-market grows at mid-single digits, whose FY26 revenue fell 12%, and whose return on equity has halved to 13.5%. My discounted cash flow — run over a full ten-year explicit period, with margins restored to 41% and revenue taken to ₹2,945 Cr, essentially the company's own stated peak capacity — values the equity at ₹552 per share. The gap between that and the market price is not a rounding error and I will not paper over it.

- **The moat is in the plant, not the patent.** A competitor needs a working strain, a USFDA-grade fermentation plant, a clean record with five regulators, a filed DMF and then five to eight years of customer qualification. Each gate is passable; in series they have stopped every entrant for a decade. Concord held over 20% global volume share across its identified fermentation APIs in 2022 and is one of only three suppliers globally with tacrolimus DMFs in all key markets.
- **FY26 was an air-pocket, and mostly exogenous.** US customers destocked on tariff uncertainty, EU supply was blocked for roughly three months by written-confirmation delays, a Middle East tender worth about ₹25 Cr went on hold, and US Veterans Affairs tenders were not finalised. Management describes no price erosion — the shortfall was volume. Q4FY26 revenue rose 17% sequentially.
- **But the working capital is the tell.** Inventory days went from 286 to 483 and the cash conversion cycle from 310 days to 492. Either that is product pre-positioned for an FY27 restock, or it is product nobody wanted. Which of those it is will be visible in the Q1FY27 numbers and matters more to me than the revenue line.
- **The sector tailwind is real but slower than the pitch.** The organ-transplant immunosuppressant drug market is about USD 6.0bn in 2026 growing at roughly 4.5–4.8% a year. The USD 38–56bn figures quoted for "immunosuppressants" include monoclonal antibodies and autoimmune biologics that Concord does not make. Management's ~18% FY27 growth guidance therefore has to come from share gains, new molecules, formulations and CDMO — not from the tide.
- **Valuation is the binding constraint.** To justify ₹1,255 on my operating forecasts you need a perpetual growth rate of 9.8%, or a cost of capital of 8.2%, or ten consecutive years of 20%+ revenue growth that would take revenue past ₹6,500 Cr against a stated peak capacity of ₹3,000 Cr. I would become buyers at ₹950–1,000.

My view

This is a high-quality business at a price that requires the future to be flawless. I would rather own it after a disappointment than before one. The FY27 recovery management has guided to is plausible and would validate the moat; it would not, on my numbers, validate the multiple. So I am content to hold and wait: fair value ₹1,240, and I would add at ₹950–1,000 or evidence that the injectables and CDMO verticals are absorbing their cost base.

WHAT THE COMPANY ACTUALLY DOES

Concord was incorporated in Ahmedabad in 1984 as Servomed Pharmaceuticals and became Concord Biotech in 2000 when Sudhir Vaid acquired and repositioned it around fermentation. That pivot is the whole company. Most Indian API manufacturers run chemical synthesis: you buy intermediates and react them. Concord runs biological synthesis: it cultures proprietary microbial strains in fermentation tanks, harvests the compound the organism produces, and purifies it. The economics, the barriers and the failure modes of those two businesses have almost nothing in common.

Three revenue engines, in descending order of maturity

- **Fermentation APIs (≈80% of FY26 revenue, ₹829 Cr).** Six immunosuppressant molecules form the core, supported by oncology, anti-bacterial, anti-fungal, anthelmintic and enzyme products — over 23 fermentation-based APIs in total, with more than 128 DMFs filed across major jurisdictions. This is where the margin and the moat live.
- **Formulations (≈20%, ₹207 Cr).** Entered in 2016 by forward-integrating its own APIs into finished dosages — 77 approved products, sold under own brands in India and B2B through distributors across Asia, Africa, Latin America and the US. Strategically this is the most important line: it converts a commodity-adjacent B2B relationship into a branded, higher-margin one.
- **Injectables and CDMO (pre-revenue).** Both were under construction through FY26 and carried roughly ₹75 Cr of unabsorbed operating cost — about four percentage points of EBITDA margin paid for capability that has not yet earned anything. Concord Lifegen was incorporated in July 2025 as a marketing and sales arm; Celliimmune Biotech was acquired in April 2026.

Exhibit 1: FY26 was an air-pocket, not a break in the long-term trend



Source: Company filings and earnings calls, Screener.in, my own analysis. Data as of May 2026.

Note: FY22–FY26 revenue and EBITDA margin on a standalone basis (Screener.in); consolidated FY26 revenue ₹1,054.9 Cr, EBITDA ₹367 Cr, PAT ₹261.4 Cr. FY27E–FY31E are my own estimates on a consolidated basis.

Manufacturing and regulatory footprint

Four units, all in Gujarat: Unit 1 (API, Dholka), Unit 2 (formulations), Unit 3 (API, Limbasi) and the new injectables facility. Installed fermentation capacity was 1,250 m³ as of March 2023 across more than 20 dedicated API blocks. Management puts the peak revenue potential of the four units at approximately ₹3,000 Cr — roughly 2.8x FY26 revenue — and states there is no material capacity constraint on growth. That is an important number for the valuation section: it caps what the existing asset base can produce without a fresh capex cycle.

The facilities are inspected by the USFDA, EU-GMP authorities, Japan's PMDA, Brazil's ANVISA and the Korean FDA. In FY26 and the first quarter of FY27 the Limbasi API plant cleared an ANVISA inspection, the Unit 2 formulation facility cleared Kenyan and Ugandan inspections, and the company received USFDA approval for a mycophenolate mofetil ANDA. This drumbeat of clean inspections is not a footnote — it is the second gate of the moat, and it is renewed continuously rather than won once.

Ownership

Promoter holding is 44.08% with no pledge and has not moved in twelve quarters. Quadria Capital, through Helix Investment Holdings, sold its entire position in the August 2023 IPO — a ₹1,550 Cr offer that was 100% offer-for-sale, meaning the company itself raised nothing and the listing was a liquidity event for the private equity holder rather than a growth-funding event. Institutional ownership has been drifting out: FII from 9.35% in March 2025 to 7.53% in June 2026, with DIIs roughly flat at 9.37%.

WHAT BROKE IN FY26

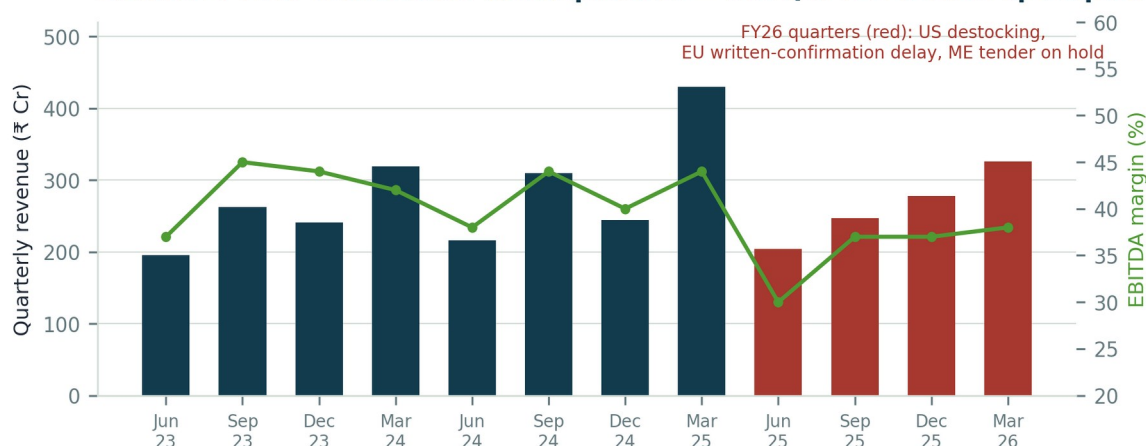
FY26 was the first revenue decline in a decade: revenue fell 12.1% to ₹1,054.9 Cr, EBITDA margin compressed from 42.3% to 35.7%, profit after tax fell 29.4% to ₹261 Cr, and ROCE dropped from 28% to 17%. Because the whole investment case rests on whether this was cyclical or structural, the causes matter individually.

Cause	Mechanism	Est. impact	Reversible?
US destocking	Customers slowed procurement in H1FY26 on tariff uncertainty; improved in H2	H1-weighted	Yes — already turning
EU supply block	Written-confirmation approval delays (EDQM) halted supply ~3 months	~1 quarter of EU sales	Yes, but gradual
Middle East tender	Regional conflict put a major tender on hold; total ME exposure ~₹50 Cr	~₹25 Cr in Q3FY26	API yes; formulation unclear
US Veterans Affairs	Tenders not finalised, hitting H2 sales	H2-weighted	Timing-dependent
New-venture opex	Injectables and CDMO cost base carried with no revenue	~₹75 Cr	Only if the plants fill

Source: Q4FY26 earnings call (29 May 2026), company filings, my own analysis. Impacts are management-stated where quantified, my own estimates otherwise.

Four of the five causes are exogenous and at least partly self-correcting, and management was explicit that there was no price erosion — the decline was volume, not realisation. That is the single most reassuring disclosure in the FY26 results, because price erosion in a niche API am how a moat dies, whereas volume gaps from tenders and destocking are how a moat gets tested.

Exhibit 2: Four consecutive weak quarters — but Q4FY26 turned up sequentially



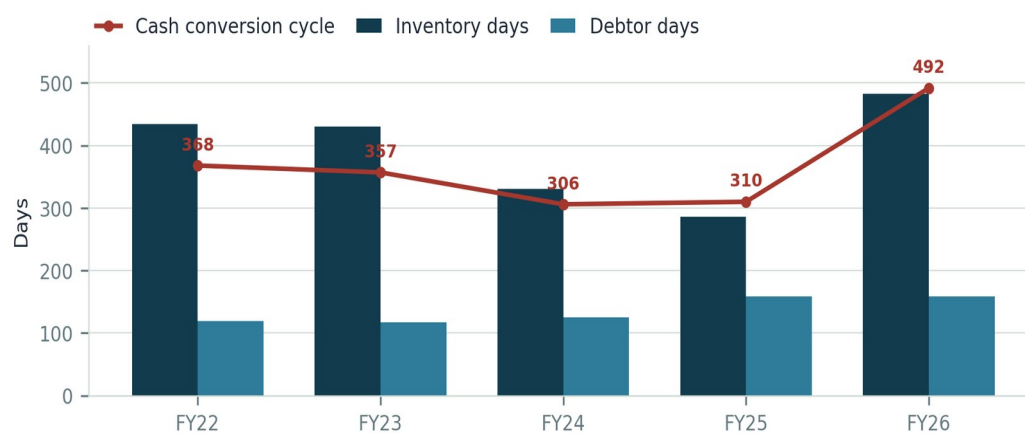
Source: Company quarterly filings (standalone), Screener.in. Data as of May 2026.

The number I am actually watching

The FY26 profit and loss can be explained. The balance sheet is harder. Inventory days rose from 286 to 483 and the cash conversion cycle from 310 days to 492 — the worst in the company's recorded history and roughly sixteen months of working capital tied up in the business. Debtor days were flat at 159, which is itself elevated. Operating cash flow held at ₹264 Cr with 96% conversion from operating profit and free cash flow of ₹169 Cr, so this is not yet a liquidity problem. But there are only two readings of a 197-day inventory build, and they point in opposite directions.

- **The benign reading:** product was deliberately built ahead of an FY27 restocking cycle that management can see in its order book, and the EU and Middle East volumes that could not ship are sitting in the warehouse waiting for approvals and tender releases. Under this reading FY27 revenue converts from existing inventory at high incremental margin and the cycle normalises.
- **The adverse reading:** demand did not materialise, the goods are ageing, and some portion eventually gets written down or discounted. Fermentation APIs have finite shelf lives and re-testing costs.

I do not think the evidence yet settles it, and I am unwilling to underwrite the benign reading at 50x earnings. Q1FY27 results — the board met on May 2026 — are the first real test.

Exhibit 5: The cash cycle blew out to 492 days — the single worst number in the accounts

Source: Screener.in (standalone), my own analysis. Data as of May 2026.

INDUSTRY AND COMPETITIVE POSITIONING

Be honest about the size of the pond

Sell-side notes on this company routinely quote an "immunosuppressants market" of USD 38–56bn growing at 9–14%. That number is real but it is not Concord's market: it includes monoclonal antibodies, corticosteroids and autoimmune biologics that Concord neither makes nor intends to make. The market Concord actually serves — organ-transplant immunosuppressant drugs — was approximately USD 6.0bn in 2026 and is forecast to reach USD 7.5bn by 2031, a compound growth rate of roughly 4.5%. Grand View's independent estimate is 4.7% to 2030. The API layer beneath that finished-drug market is smaller again: the entire global tacrolimus API market is around USD 121m on volumes of roughly 1,923 kg a year.

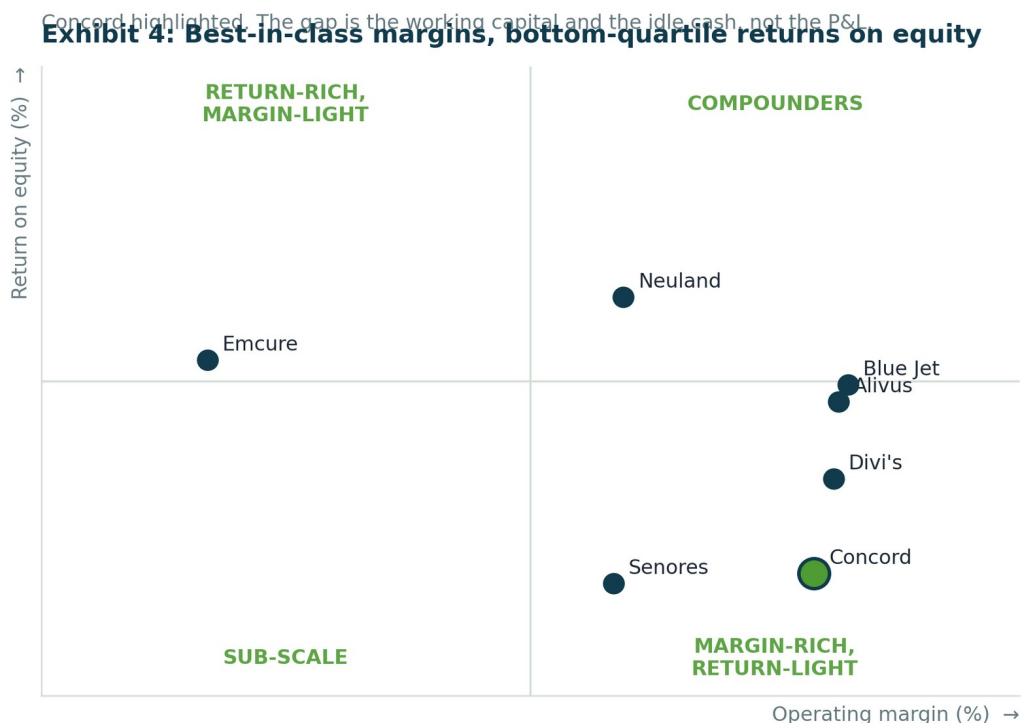
This is not a bearish observation, it is a framing one. A slow-growing end market with punishing entry barriers is exactly the structure that produces durable excess returns — it is too small to attract a serious attacker and too hard to enter casually. But it does mean that any growth forecast above mid-single digits is a share-gain, new-molecule or new-vertical forecast, and must be underwritten as such. Management's FY27 guidance of growth "slightly better" than the historical ~18% is an execution claim, not a market claim.

Why the sector backdrop is nonetheless favourable

- **China is retreating from fermentation.** Chinese producers were the principal competitive threat historically and have been losing share since 2021 on environmental enforcement, the removal of the 13% VAT export rebate and a series of plant closures. Fermentation is energy- and effluent-intensive, which is precisely what Chinese industrial policy has been squeezing.
- **The BIOSECURE Act has changed procurement behaviour ahead of its own deadlines.** Signed into law in December 2025, it restricts US federal contracting with named Chinese biotech firms. Federal enforcement is not expected before late 2028 and the designation list is expected around late 2026, but sponsors are re-sourcing now to lock in capacity — an estimated USD 10–20bn of annual contracts is in play. Indian CDMOs operate at roughly 20% lower cost than Chinese peers while holding better regulated-market compliance records.
- **India is starting from a very low base.** India holds roughly 2.7% of the global CDMO market against China's 8%. Even modest reallocation is material to Indian mid-caps. This is the tailwind behind Concord's CDMO build-out — but note that Concord is entering a business where Divi's, Syngene, Laurus, Neuland and Sai Life are already established, and it is entering late.
- **Consolidation of the competitive set.** Within India, Biocon was the most direct overlap on mycophenolate and cyclosporine and has redirected strategically toward biologics and biosimilars, leaving Concord more dominant in small-molecule fermentation than it was five years ago.

Where Concord sits

The credible global competitor set in fermentation immunosuppressants numbers perhaps eight to twelve firms, and rivalry expresses itself as price discipline at annual contract renewal rather than customer raids — the qualification cycle makes raiding uneconomic. Concord held over 20% global volume share across its identified fermentation APIs in 2022, with an estimated 40% volume share in tacrolimus, where it is one of only three suppliers worldwide holding DMFs across all key markets. Rivalry is meaningfully higher in oncology APIs, where Shilpa Medicare, RA Chem and Chinese producers compete, which is why I model oncology at structurally lower margins than the immunosuppressant core.



Source: Value Research peer screen (TTM basis). Data as of May 2026.

Exhibit 4 is the uncomfortable one. Concord earns operating margins in line with the best in its peer group — 27.8% against a peer median of 26.1% — while generating a return on equity of 13.5% against a peer median of 18.7%. Margin is a statement about the moat; return on equity is a statement about capital allocation. The gap between the two is explained by the 492-day cash cycle and by ₹414 Cr of net cash earning treasury returns rather than being deployed or returned. Concord is a very good business being run with a conservatism that costs shareholders roughly five points of ROE.

THE MOAT: WHAT IT IS, AND WHAT IT IS NOT

The question a PMS client should ask is not "does Concord have a moat" but "what exactly stops someone taking this business, and how long would it take them". The answer is unusually concrete, because the barrier is a sequence of gates rather than a single asset. No individual gate is impassable. It is the requirement to clear all five, in order, that has stopped every entrant.

Exhibit 3: Five sequential gates — each one alone is not a moat; in series they are



Source: Concord Biotech DRHP and annual reports, my own analysis. Capacity as of Mar-2023; DMF count as of Jun-2023.

1. The strain

A fermentation API begins with a microorganism that produces the compound, improved over years of selection for yield and purity. Concord has been at this since 2001. A new entrant either replicates decades of strain development or licenses one, and licensing a competitive strain in a category with eight to twelve players is not a transaction anyone is offering. This is the gate that cannot be bought with money alone.

2. The plant

A USFDA-grade fermentation facility runs well past USD 50m and, unlike a synthesis block, cannot be repurposed to make something else if the product fails. Fermentation is capital-intensive, effluent-heavy and slow to commission. Concord has 1,250 m³ installed across more than 20 dedicated blocks — the capacity itself is a deterrent, because a marginal entrant must build at scale to compete on cost against an incumbent already amortised.

3. The regulatory record

Approvals from the USFDA, EDQM, PMDA, ANVISA and the KFDA are not a certificate on a wall; they are a continuously renewed operating record. A single serious observation can shut a facility out of a market for years. Concord has cleared inspections repeatedly and recently — Limbasi with ANVISA in June 2026, Unit 2 with the Kenyan and Ugandan regulators. This gate takes years of uneventful operation, and it cannot be accelerated.

4. The DMF

Concord has filed more than 128 Drug Master Files. A DMF is what a customer's regulatory dossier references, and once referenced it becomes part of the customer's own approval. This is where the barrier stops being about Concord and starts being about the customer.

5. The switching cost — the gate that actually holds

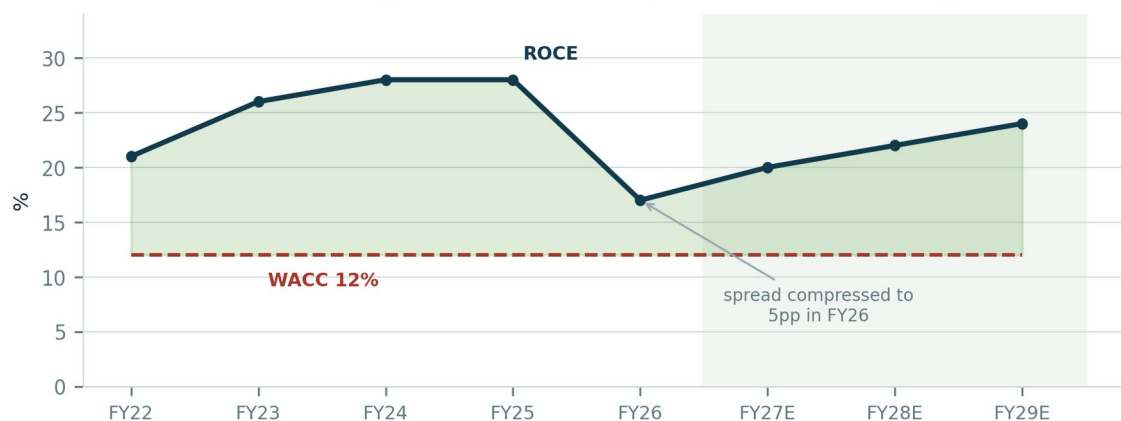
For a formulator to change API supplier, it must re-run stability studies, re-file, and win re-approval in every market where it sells. That process runs five to eight years and costs money for a benefit that is, at best, a slightly lower input price on a molecule where the API is a small fraction of the drug's value. Concord's 250-plus customers are therefore not loyal — they are locked in by their own regulatory filings. The practical consequence: an attacker must fund a strain, a plant, a compliance record and a DMF, and then wait most of a decade for the first customer to convert. Total realistic time to commercial scale in a single molecule is eight to twelve years. There has been no new credible global entrant in the last decade.

Where the moat does not extend

Three honest limits. First, the moat protects the existing molecules, not the new ones: in a genuinely new category such as voclosporin, several Indian players will file DMFs at similar times and the field is open. Second, it does not protect against the customer disappearing — tender-driven demand in the Middle East and the US Veterans Affairs

channel is lumpy and political, as FY26 demonstrated. Third, and most importantly, it does not protect against the end market simply not growing very fast, which is the central tension in this note: a fortress around a slow-growing territory is still a fortress, but it does not compound at 20%.

Exhibit 6: Still creating value — but the spread over cost of capital halved in FY26



Source: Screener.in; FY27E-FY29E my own estimates. Data as of May 2026.

Exhibit 6 is the test that matters for a moat: does the business earn more on capital than capital costs? It does, and has consistently — but the spread narrowed from sixteen percentage points in FY24 to five in FY26. My forecasts show it widening again as the new-venture cost base is absorbed, without returning to the FY24–25 peak, because the incremental capital being deployed into injectables and CDMO will earn less initially than the mature API base.

FINANCIAL SUMMARY

₹ Cr (year to March)	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue	1,017	1,200	1,055	1,224	1,407
Growth (%)	19.2	18.0	(12.1)	16.0	15.0
EBITDA	432	507	377	453	542
EBITDA margin (%)	42.5	42.3	35.7	37.0	38.5
Depreciation	54	54	74	92	101
Profit after tax	305	373	263	282	343
EPS (₹)	29.1	35.7	25.2	26.9	32.8
Return on equity (%)	21.7	22.4	13.4	13.3	14.6
Return on capital employed (%)	28.0	28.0	17.0	20.0	22.0
Borrowings	10	3	1	1	1
Free cash flow	180	134	169	187	234
P/E (x, at CMP ₹1,255)	43.1	35.2	49.9	46.6	38.3
EV/EBITDA (x, at CMP)	29.4	25.1	33.7	28.1	23.5

Source: Screener.in (FY24–FY26 standalone), company filings; FY27E–FY28E my own estimates. E denotes estimate. Negatives in parentheses. P/E and EV/EBITDA computed at the May 2026 price of ₹1,255 throughout, i.e. they show what today's price implies against each year's earnings, not the multiple prevailing in that year.

Two observations rather than a restatement of the table. First, the FY26 margin compression is roughly two-thirds operating leverage on a 12% revenue fall and one-third the ₹75 Cr of unabsorbed injectables and CDMO cost; management's adjusted EBITDA margin excluding that cost was 39% for FY26 and 40.4% in Q4. That adjustment is legitimate for understanding the base business and illegitimate for valuing the company, because the cost is real and recurring until the plants fill. Second, free cash flow has been remarkably stable — ₹134–180 Cr across three years of wildly different profitability — which is what a business with a long cash cycle and low maintenance capex looks like. It is also, at ₹169 Cr against a ₹13,127 Cr market capitalisation, a free cash flow yield of 1.3%.

My forecast assumptions

I model revenue growth of 16% in FY27 against management's guidance of "slightly better" than the historical ~18%. I haircut deliberately: the guidance is measured off a depressed base, three of the four FY26 headwinds recover gradually rather than instantly, and management itself described the EU recovery as gradual and the Middle East formulation tender visibility as unclear. I then fade growth to 15%, 13%, 12% and 11% through FY31 and to 7% by FY36, at which point revenue reaches ₹2,945 Cr — essentially the stated ₹3,000 Cr peak capacity of the existing four units. On margins I assume recovery to 37% in FY27 and 41% by the terminal year, below the 42.5% FY24 peak, because the new verticals dilute mix. I assume incremental working capital absorbs 45% of incremental revenue, better than the 63% the FY26 balance sheet implies but worse than a normalised business.

VALUATION

Method. I run a ten-year explicit discounted cash flow as the intrinsic anchor, and a peer-multiple cross-check as the twelve-month price anchor. I report both, weight the multiple approach for the fair value, and disclose the disagreement rather than tuning either to converge. The disagreement is the most important output of this section.

Cost of capital

Component	Value	Basis
Risk-free rate	6.75%	10-year G-Sec, 6.77% on 27-Jul-2026
Equity risk premium	6.00%	my own my own assumption for India
Beta	0.90	House assumption — not regression-derived (see limitations)
Cost of equity	12.15%	$6.75\% + 0.90 \times 6.00\%$
Cost of debt (post-tax)	n/a	Borrowings of ₹1 Cr; not meaningful
Target debt / capital	0%	Company is net cash
WACC used	12.00%	Cost of equity, rounded

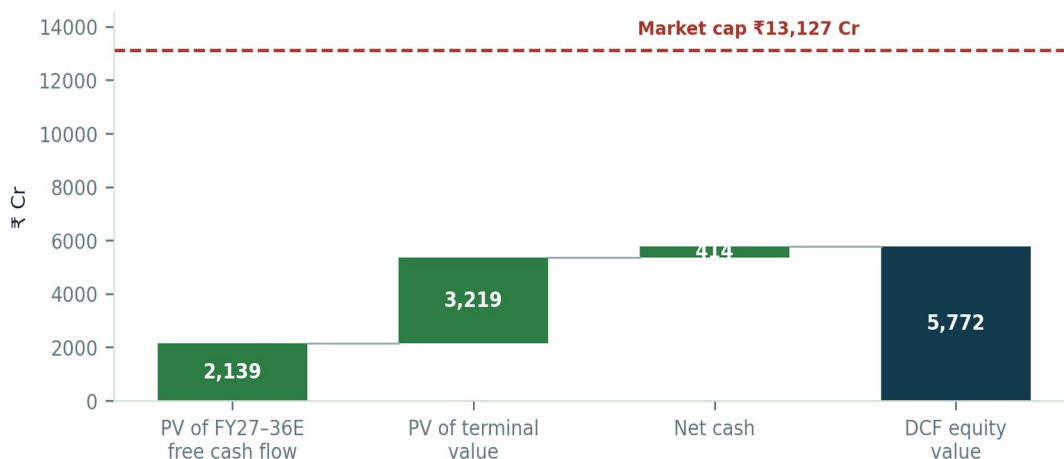
Source: my own analysis. G-Sec level per indiamacroindicators.co.in, May 2026.

Free cash flow projection

₹ Cr	FY27E	FY28E	FY29E	FY30E	FY31E
Revenue	1,224	1,407	1,590	1,781	1,977
EBITDA	453	542	620	704	791
EBIT	361	441	509	582	662
NOPAT (25.5% tax)	269	328	379	434	493
add: depreciation	92	101	111	121	129
less: capex	(98)	(113)	(111)	(125)	(138)
less: change in working capital	(76)	(83)	(82)	(86)	(88)
Free cash flow to firm	187	234	297	344	395

Source: my own estimates. The DCF runs a further five years to FY36E on a fading growth path (10%, 9%, 8%, 7.5%, 7%) before the terminal value.

Exhibit 7: Our DCF builds to ₹5,780 Cr of equity value — the market pays ₹13,127 Cr



Source: my own estimates. WACC 12.0%, terminal growth 5.0%, 10-year explicit period. Data as of May 2026.

The bridge produces an enterprise value of ₹5,358 Cr and an equity value of ₹5,772 Cr, or ₹552 per share. The terminal value is 60% of enterprise value — high, but not the 80%-plus that would make the exercise meaningless. The cross-check the other way is more revealing: a Gordon terminal growth rate of 5.0% implies an exit multiple of just 8.3x FY36E EBITDA. The market pays 34.6x today. Put plainly, my DCF and the market are not disagreeing about Concord's cash flows — they are disagreeing about what a business like this is worth per unit of cash flow, by a factor of four.

Sensitivity: value per share (₹)

WACC \ terminal g	4.0%	4.5%	5.0%	5.5%	6.0%
11.0%	588	616	648	685	731
11.5%	547	570	596	627	663
12.0%	511	530	552	577	606
12.5%	479	495	514	535	559
13.0%	451	465	480	498	518

Source: my own analysis. Base case (WACC 12.0%, g 5.0%) highlighted. Across the entire plausible grid the DCF value ranges from ₹451 to ₹731 — the current price of ₹1,255 lies outside it.

Reverse DCF: what the price is asking you to believe

- **A perpetual growth rate of 9.8%** at a 12% WACC — a rate above India's expected long-run nominal GDP growth, forever, in a market growing at 4.5%.
- **Or a weighted average cost of capital of 8.2%** at 5% terminal growth — a cost of equity 145bps above the ten-year government bond for a small-cap with tender-driven revenue lumpiness.
- **Or ten consecutive years of 20%+ revenue growth** at a restored 42% EBITDA margin, which gets to ₹1,048 per share and implies FY36 revenue of ₹6,532 Cr against a stated peak capacity of ₹3,000 Cr — that is, the entire thesis plus a second company's worth of new plant.

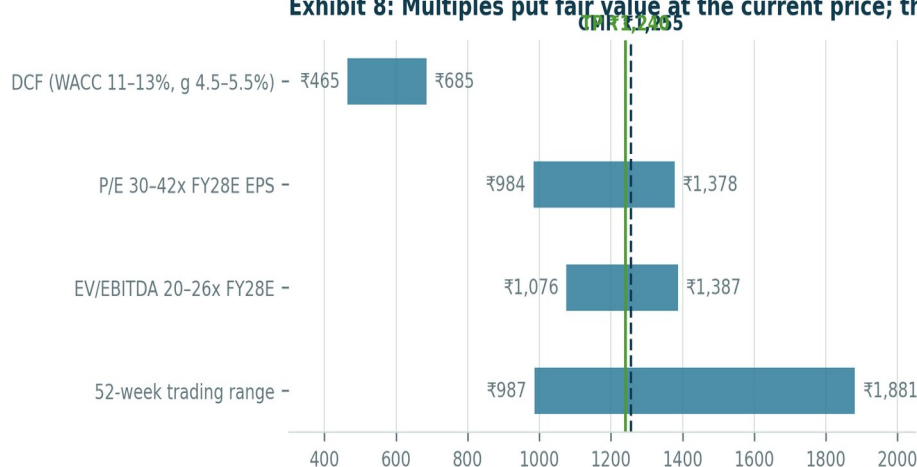
Peer comparison

Company	Mcap (₹ Cr)	Rev TTM	PAT TTM	OPM (%)	ROE (%)	P/E (x)	P/B (x)
Concord Biotech	13,170	1,055	259	27.8	13.5	50.5	6.5
Divi's Laboratories	196,010	10,560	2,568	28.2	16.2	76.3	11.7
Neuland Laboratories	24,464	2,023	364	23.9	21.4	67.2	13.1
Emcure Pharmaceuticals	36,608	9,204	941	15.4	19.6	39.6	7.4
Alivus Life Sciences	13,935	2,552	565	28.3	18.4	24.7	4.2
Blue Jet Healthcare	11,008	947	248	28.5	18.9	44.4	5.1
Senores Pharmaceuticals	6,492	650	122	23.7	13.2	56.3	7.0
Peer median (ex-Concord)	—	—	—	26.1	18.7	50.4	7.2

Source: Value Research peer screen, May 2026, TTM basis. OPM as reported by the source (operating profit after depreciation). Concord row highlighted.

Concord trades at 50.5x against a peer median of 50.4x — precisely in line — while earning a 13.5% return on equity against a peer median of 18.7%, the second-lowest in the group. That is the relative-value case in one sentence: you are paying the sector multiple for below-sector returns, in a cohort that is itself expensive. Relative cheapness inside an expensive cohort is not value, and I decline to treat it as such.

Exhibit 8: Multiples put fair value at the current price; the DCF does not come close



Source: my own estimates; 52-week range from Screener.in. Data as of May 2026.

Where I think fair value sits

I put fair value at ₹1,240, derived from 38x my FY28E EPS of ₹32.8 and cross-checked at 23x FY28E EV/EBITDA, which gives ₹1,231. The 38x multiple is a deliberate discount to the 50.4x peer median and to Concord's own

trading history, justified by the lower return on equity, the deteriorated cash cycle and the fact that FY27 growth is a recovery off a depressed base rather than underlying acceleration. Against a price of ₹1,255 that is a 1.2% implied return — not enough to make me add here.

What would change my mind. I would add aggressively at ₹950–1,000, which is roughly 30x FY28E earnings and close to the 52-week low of ₹987 — a level at which the multiple-based and bull-case DCF valuations converge and the margin of safety becomes real. I would also upgrade before that level on evidence that the injectables and CDMO verticals are covering their cost base, or on two consecutive quarters of inventory-day normalisation with revenue growth intact. I would trim if the inventory build resolves into write-downs, if FY27 growth undershoots 10%, or if any of the four manufacturing units receives a significant regulatory observation.

RISKS

Valuation de-rating (most material). The entire gap between my DCF value of ₹552 and the market price of ₹1,255 rests on the market continuing to award Indian pharma assets 25–45x EV/EBITDA. That premium reflects scarcity, domestic flows and the China+1 narrative, all of which are real and none of which is contractual. A sector-wide multiple compression would hurt Concord more than most, because it has neither the size and liquidity of Divi's nor the growth rate that would let earnings grow into the multiple. This is the risk I cannot hedge and it is why I will not own it here.

Inventory quality. A cash conversion cycle of 492 days and a 197-day increase in inventory days is either pre-positioned stock or a write-down waiting to be recognised. Fermentation APIs have finite shelf lives. I would change my view on two quarters of normalisation; I would trim on an inventory provision.

Regulatory concentration. All four manufacturing units are in Gujarat and a material share of profit comes from a handful of molecules made in specific blocks. A single serious USFDA observation at Dholka or Limbasi would remove access to the highest-value market for the highest-value products for an indeterminate period. The recent inspection record is clean, which is exactly when this risk is cheapest to ignore.

Tender and customer lumpiness. FY26 showed that a single Middle East tender (~₹25 Cr) and unresolved US Veterans Affairs contracts can move the annual result. Revenue that arrives through government tenders is politically exposed and does not respect the moat.

The new verticals may not fill. Injectables and CDMO cost ₹75 Cr a year before earning anything, and Concord is entering CDMO late against established Indian competitors. If utilisation disappoints, the drag becomes permanent rather than transitional and my margin recovery path is wrong.

Volume-only growth. Management confirmed there was no pricing growth in FY26. In a category with eight to twelve credible suppliers and annual contract renewals, flat-to-negative pricing is the base case. Every rupee of growth must be earned in volume, which requires the working capital the company is already straining to fund.

What I am watching

Q1FY27 results (board met 31 July 2026): inventory days and whether the sequential revenue recovery held. The BIOSECURE designation list, expected late 2026. Utilisation and first revenue from the injectables facility. Any regulatory observation at the Gujarat units. Progress on the Middle East formulation tender and US Veterans Affairs contracts.